India has clinched a landmark trade deal with the UK. On July 24, New Delhi and London signed the Comprehensive Economic and Trade Agreement (CETA), India's first such pact with a G7 nation. Touted as "historic", the deal aims to double bilateral trade by 2030 and promises unprecedented market access for both sides. Here's a look at how both countries stand to gain



THE TRADE-OFFS

How British goods and services will get cheaper in India and stir local competition

● **Pre-FTA Tariff** ● **Post-FTA Tariff**



SCOTCH WHISKY

● **~150%**

● **75%** immediately, reducing to 40% by year 10

Potential gains: 25% drop in duty means ~8-10% retail price reduction and more sale

LUXURY CARS/ EVs



● **70-110%/ 75-125%**

● ICE cars: **30-50%** in year 1, **10%** by years 5-15; EVs (above £40,000): **40-50%** (year 6), **10%** by year 15

Potential gains: 20-35% duty cut under quota; larger cut for ultra-luxury EVs

DIGITAL TRADE



● Data localisation & compliance costs

● Reduced

Potential gains: Lower cost of UK cloud/ fintech services

PATENT/ IP



● Standard WTO TRIPS[#]

● Extended protections

Potential gains: Extended exclusivity for patented drugs

DAIRY & PROCESSED FOOD



● **30-60%** ● **10-20%**

Potential gains: 15-25% cheaper UK cheese & chocolates

FINANCIAL SERVICES



● Regulatory barriers

● Liberalised access

Potential gains: Lower cost of foreign credit/ insurance

LABOUR MOBILITY



● Visa quotas & caps

● Largely unchanged

Potential gains: Streamlining of short-term business visas

LEGAL SERVICES



● Strict entry barriers

● Partial liberalisation

Potential gains: Cheaper international arbitration

AGRO SANITARY AND PHYTO-SANITARY NORMS



● High sanitary barriers

● Harmonised standards

Potential gains: 10-15% cheaper UK agro products

PROCUREMENT TRANSPARENCY



● Opaque bidding, high markups

● Open bidding

Potential gains: Lower cost of imported infra/ tech

[#] *Trade-Related Aspects of Intellectual Property Rights*



"WE NEED TO IMPROVE MANUFACTURING IN A BIG WAY TO BE COMPETITIVE. REDUCED TARIFFS ALONE ARE NOT GOING TO HELP TURN COMPETITIVE. WE NEED TO REDUCE OUR LOGISTICS AND SHIPPING COSTS, AND VASTLY IMPROVE OUR SHIPPING TIME"

AJAY SAHAI, DG and CEO, FIEO